

INTRODUCTION TO ENTREPRENEURSHIP

Definition of Terms

Definition of an entrepreneur

- ✓ An entrepreneur is a person who identifies a business opportunity, harnesses and obtains the resources necessary to initiate a successful business activity.
- ✓ The entrepreneur implements the idea
- ✓ Undertakes to operate the business
- ✓ An entrepreneur is therefore a central key individual in the society who makes things happens for economic development.

Entrepreneurship meaning

- ✓ In the broader sense entrepreneurship refers to the means of stimulating innovative and creative undertakings for a better business community or world.
- ✓ The act or process of identifying business opportunities and gathering the necessary resources to initiate a successful business activity.
- ✓ Entrepreneurship is a French word meaning to undertake and focuses on a business enterprise
- ✓ Entrepreneurship can exist in any situation – therefore it is the creation of values through establishing a business enterprise.
- ✓ Entrepreneurship means having an idea of one's own and trying to implement the idea to create values on it.
- ✓ Entrepreneurship is a term which encompasses what entrepreneurs do i.e
 - Identifying a business opportunity of a particular demand
 - Look at the opportunity as a process of creating, something that did not exist.
 - Constantly searching/ harnessing ones environment and resources to implement the activities.
 - Creating a totally new product and using it in as new.
- ✓ Entrepreneurship there is the practice of starting a new business or revitalizing existing businesses in response to identifying opportunities.

Self-Employment

- ✓ Working independently and earning a living from it.
- ✓ This is a concept that arises when the entrepreneur relies on revenues from his business as a source of income
- ✓ What is Unemployment? Advantages and disadvantages of Self Employment?
- ✓ What is Salaried Employment? Advantages and Disadvantages of Salaried employment? Enterprise
- ✓ A business undertaking by an individual for the purpose of making a profit.

Factors impeding the growth of Entrepreneurship

- ✓ High Taxation Levels
- ✓ Corruption and Official Harassment
- ✓ Unregulated competition from outside countries
- ✓ Decline in personal incomes
- ✓ The high cost of finance
- ✓ Lack of entrepreneurial culture
- ✓ Poor transport and communication networks
- ✓ Lack of skills and knowledge
- ✓ Explain the distinctions between an Entrepreneur and a Manager

Contribution of Entrepreneurship to National Development

- ✦ The economic growth, the improved quality of life, the equitable distribution of resources and the capacity of the economy to deal with economic, social and environmental development.
- ✦ Main objectives of national development include:
 - Provide basic needs to every citizen:- food, shelter, health, security, education, clothing
 - Elimination / Reduction of poverty: reduce rural-urban migration □Provision of opportunities for employment and personal advancement
 - Trying to narrow the income differences between the rich and the poor.
- i) Employment Creation:
- ii) Promotion of National Productivity: This is through production of goods and services within the country and therefore they contribute to the Gross Domestic Product (GDP)
- iii) Raising Standards of Living: It's measured by the capacity of people of a country to buy goods and services. Entrepreneurs contribute by employing people and giving them salaries or wages to buy their necessities.
- iv) Conservation of foreign Exchange: Entrepreneurs produce goods and services that are needed by people and reduction in importing those goods and hence the government saves foreign exchange.
- v) Export Promotion: Entrepreneurs who produce goods and services for export earn
- vi) Conservation Agent: Entrepreneurs can contribute to conservation and utilization of resources e.g. manufacturing a Jiko that uses sawdust instead of wood charcoal
- vii) Rural development which in effect.

- ✓ Promotes change to the formal sector from informal sector ✓ Equitable development
- ✓ Reduced rural-urban migrations.
- viii) Development of technology through
 - ✓ establishment of research institutions ii) education systems
- ix) Government revenue
 - ✓ Through taxes. From domestic borrowing (TBs)
- x) Facilitating community development through
 - ✓ Establishment of small businesses ii) Participation in community dev. Projects
 - xi) Providing a positive role model and facilitating.
 - ✓ Competition between domestic entrepreneurship and imported ✓ Stimulating dev. Of entrepreneurship.
- xii) Reducing dependence on imported goods and services.
- xiii) Stimulates competition through
 - ✓ Quality production methods are adopted
 - ✓ Quality products are produced
 - ✓ Variety goods and services are produced.
- xiv) Facilitated development of the financial sector through which;
 - ✓ Capital accumulation is possible through savings
 - ✓ Loaning is facilitated
 - ✓ Development of the capital market.

Entrepreneurship

- i) Entrepreneurship looks at particular individuals in a business set-up. It operates in large business or organization which is business minded to make profit.
- ii) Entrepreneurs operate autonomously for the welfare of the organization.
- iii) The term Intra – refers to within – therefore Entrepreneurship is a process whereby an individual or group within a large organization creates something new or different to maximize on the available opportunities to that organization. iv) Intra can therefore be equated to intra within the context of a large organization where the workers are a leeway to be creative or innovative on their own.
- v) They become competitive, socially and economically the idea is to allow individuals within the organization to act and think independently.

Entrepreneurial Behavior

- ✦ Several theories have been developed to explain why entrepreneurs behave the way they do.
- ✦ There has been debate on whether entrepreneurs are born or made
- ✦ Born-hereditary, made-entrepreneurs are environmental influenced by where they are born.
- ✦ These are;

i) Economic

- ✓ The theory explains entrepreneurial behavior as influenced by economic factors through which

- a) It is possible to introduce new methods
- b) It is possible to find new sources of materials
- c) It is possible to open new markets

- ✓ The economic prospective is important since they create enabling environment for the entrepreneur to combine the factors of production.

ii) Psychological factors

- ✓ The theory states that entrepreneurs have unique values, attitudes and needs within which drive them.
- ✓ It is mostly concerned with personality traits as the main determinants of entrepreneurial behavior
- ✓ People are likely to become entrepreneurs because of high liking of say.
 - a) Independence
 - b) Attitude
 - c) Need to satisfy certain needs.

iii) Sociological factors

- ✓ Maintains that environmental factors such as beliefs, culture, social structures determine entrepreneurial behavior.

iv) Management factors

- ✓ Emphasizes on the organization of resources in a specific way to attain profits
- ✓ Leadership impacts on behavior and facilitates pioneership, achieving of goals and provides vision.

The Functions of an Entrepreneur

- i) The bearing of uncertainty is the primary function of the entrepreneur i.e losses or profits.
- ii) The management of the business enterprise ie can delegate iii) Provision of risk capital and invention.
- iv) Identifying gaps in the market and turning such gaps to business opportunities i.e to initiate a business.
- v) Financing the businesses, through raising and mobilizing the necessary resources to exploit opportunity.
- vi) Searching for business opportunities through environmental scans. vii) Mobilization of resources needed to start and run a business e.g. from
 - a) Personal savings
 - b) Friends & relatives
 - c) Financial institutions e.t.c
- viii) Evaluation of business opportunities to access viability and any other benefits that might accrue to the business.
- ix) Provide the necessary leadership for the business and those working in it.

Advantages of Entrepreneurship

- i.) Financial gains
- ii.) Self-employment which leads to job satisfaction and flexibility
- iii.) Provide job opportunities to the unemployed or those seeking better jobs.
- iv.) A means of opening up new industries especially in the rural areas - facilitating globalization
- v.) A source of generating income and increased economic growth.
- vi.) Facilitates competition encouraging high quality products
- vii.) Facilitates production of more goods and services
- viii.) Leads to the development of newer markets
- ix.) Promotes use of modern technology in especially small- scale manufacturing to enhance higher productivity

Drawbacks of entrepreneurship

a) Challenges of a being an entrepreneur

- ✦ long working hours
- ✦ poor pay
- ✦ unclear future
- ✦ fear of losing all that has been invested
- ✦ bankruptcies and closure

b) Other challenges

- ✦ Fear of delegating
- ✦ the problem do it yourself and know it all
- ✦ competition by established business
- ✦ lack of funds especially before break even
- ✦ Mis- management by employees

Promotion of Entrepreneurship

- ✓ Integrating entrepreneurship into the education system
- ✓ Registration to encourage risk taking
- ✓ National companies to promote entrepreneurship
- ✓ Support of entrepreneurs through friendly loans at the appropriate time.

2. EVOLUTION OF ENTREPRENEURSHIP

The Evolution of Entrepreneurship in Kenya

- ✓ Interest in the development of entrepreneurship and small enterprise in Kenya gained momentum as a possible remedy to the stagnation of economic development and the escalating unemployment problem between the early 1960 and 1970s
- ✓ Although there were attempts by the government to develop entrepreneurship, the main impetus came from the international labor organization (ILO) report.
- ✓ The report centered on the potential of the informal sector and suggested that the bulk of Kenya's urban workers were self-employed in small enterprises.
- ✓ The report proposed that the development of this sector could;

- i.Promote employment development
- ii.Facilitate equitable distribution of resources.
- iii.Facilitate

- ✓ Based on this report the government responded with a seasonal paper in 1973 – which recognized the role of entrepreneurship in employment creation not just in the informal sector but also in the formal sector.
- ✓ Subsequent development plans have devoted time to the development of strategies and to promote small-scale enterprises and entrepreneurs which include.
 - The industrial estate programme
 - Establishment of development agents e.g ICDC and KIE
 - Policy and institutional framework to promote entrepreneurs.
 - Promoting indigenous Kenyan enterprises.

Economic, Social and Political Factors Affecting Entrepreneurial Development

a)High taxation levels. For business and personal incomes

- ✓ Which in effect reduce profits earned making it un-attractive to engage in business
- ✓Taxation of raw materials and other inputs raise production costs.

b) Corruption and official harassment

- ✓ Occurs where entrepreneurs are forced to bribe officials in various government departments to allow operation or start up.
- ✓ Raids under one pretext or another which tends to be very harassing.

c) Unregulated competition from the outside world due.

- ✓ Liberalization which opened importation competing locally produced goods.

d) Declining personal incomes of people due to

- ✓ Over-increasing cost of living
- ✓ Arise in unemployment

e) The high cost of finance

- ✓ The cost of borrowing is high
- ✓ Business collapses because they lack ability to repay loans.

f) Lack of necessary skills and knowledge due to

- ✓ lack of training opportunities
- ✓ high education costs

g) Poor transport and communication network

- ✓ making business difficult
- ✓ Inconveniencing consumers
- ✓ High energy costs
- ✓ Lack of entrepreneurial culture

Myths Associated with Entrepreneurship

- 1) Entrepreneurs are doers not thinkers: Although it is true entrepreneurs tend towards action, they are also thinkers.
- 2) Entrepreneurs are born not made: The idea that the characteristics of entrepreneurs cannot be taught or learned, that they have innate trait, has long been prevalent. Today, however, the recognition of entrepreneurship as a discipline is helping to dispel the myth.

- 3) Entrepreneurs are always inventors: entrepreneurship covers more than just invention. It requires a complete understanding of innovative behavior in all forms.
- 4) Entrepreneurs are academic and social misfits. The belief that entrepreneurs are academically and socially ineffective is as a result of some business owners having started successful enterprise after dropping out of school or quitting a job. Today the entrepreneur is considered a hero socially, economically and academically and no longer misfit.
- 5) Entrepreneurs must fit the profile many books and articles have presented checklist of characteristics of a successful entrepreneur. Today we realize that a standard entrepreneurial profile
- 6) All entrepreneurs need to run a business successful is money: Many business fail because of managerial incompetence, lack of financial understanding, poor planning etc. To many entrepreneurs money is a source but not an end in itself.
- 7) All entrepreneurs need is luck. Being at “the right place at the right time” is always an advantage. But luck happens when preparation meets opportunity as an equally appropriate advantage. Prepared entrepreneurs who seize the opportunity when it arises often seem “Lucky” they are in fact simply better prepared to deal with situations and turn them into success. What appears to be luck really is preparation, determination, desire, knowledge and innovativeness?
- 8) Entrepreneurs must fail; in fact failure can teach many lessons to those willing to learn and often leads to future successes.
- 9) Entrepreneurs are extremely risk takers (Gamblers). Entrepreneur is usually working on a moderate or calculated risk.
- 10) It takes a lot of money to start a business. This is false because it is all about using the little resources to make the most out of it.
- 11) Those who make it are those with rich backups. You can start from scratch with no special favors or advantages and succeed
- 12) Some people go about thinking that banks do not lend to those who wish to start up businesses.
- 13) Those who start business, do so in very attractive industries
- 14) All entrepreneurs are rich and have financial success
- 15) Starting a business is easy. It is difficult and getting it running takes a lot.

Theories of entrepreneurship

The theories that explain entrepreneurship include:

- a) Psychological Theory
- b) Motivational Theory
- c) Sociological Theory
- d) Economic Theory
- e) The Resource Based Theory
- f) Competence Based Theory

g) Heterogeneous Demand Theory

Psychological theory

- The focus is that entrepreneurs have unique values, attitudes and need which drive them.
- People's behavior results from their attempts to satisfy their unique needs and values.
- The psychological school focuses on personality factors believing that entrepreneurs have unique values and attitudes towards work and life.
- Among the most frequent traits of entrepreneurs include the Need for achievement, Locus of Control and Risk taking propensity.

Motivational Theory

- Motivation is that which causes you to behave in the way you behave i.e. the why of behavior
- Entrepreneurial motivation is those factors and forces or events that energizes an individual, his desires and the needs to go into and sustain a business venture.
- Types of motivation; i) Internal Motivation Factors ii) External Motivation Factors
- Internal Motivations and Drives
 - ✓ Refers to those personal traits and desires that induce a person to become an entrepreneur. Such motivations are;
 - i. Employment Creation Need.
 - ii. Need for independence or self-Reliance: iii. Need for Power:
 - iv. Need for Recognition:
 - v. Need for Security:
 - vi. Self-actualization need:

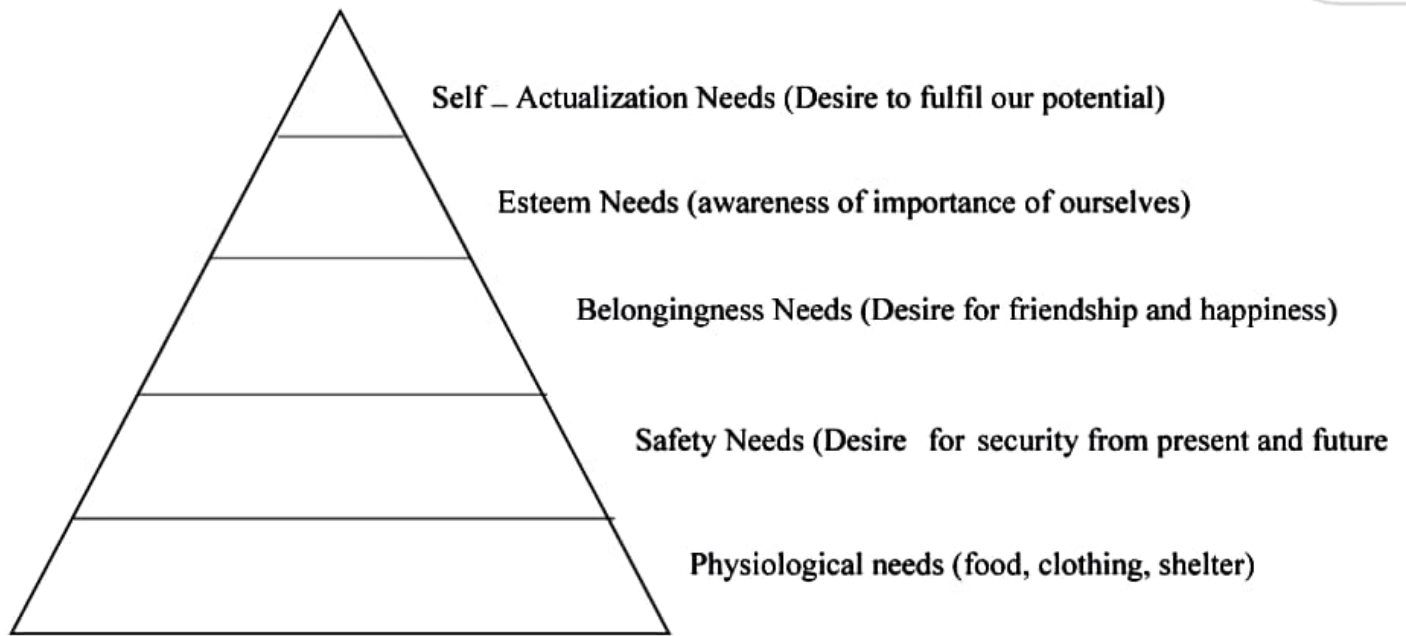
□ External Motivations and Drives

- i. Infrastructure:.
- ii. Credit Facilities: iii. Information Support iv. Pricing Policy v. Tax Policy vi. Legal Control vii. Political Climate viii. Technical Technology Assistance ix. Training Consultancy Assistance x. Friends Motivation

Maslow's Need Theory

Theory of human needs is identified with the psychologist Abraham Maslow. This theory is based on three specific assumptions:

1. The human beings are never satisfied. Their wants are determined by what they have. When people are hungry or thirsty, the quest for food or water influences how they behave. However if food and water is acquired, the same person will want something else, perhaps a safe place to live in or a social status.
2. A satisfied need does not cause behavior. Once people satisfy their need for safety, they are motivated by yet unsatisfied needs, not the ones – that are satisfied,
3. Human needs are arranged in hierarchy of importance. These needs range from low level biological (physiological) needs to such high level needs as self-actualization.



Discuss Impetus for entrepreneurship. Discuss factors that propel people to self-employment.

Factors Affecting Entrepreneurial Development

Political Factors

- ✓ Political environment is concerned with the policies pursued by the government.

Components of political environment include; ○The political stability ○Political system e.g.

- i. Capitalism: whereby the means of production are owned by individuals. A capitalist is a wealthy merchant who uses his/her money to invest in trade for profit.
- ii. Socialist: means of production are owned by government
- iii. Market economy: whereby means of production are owned by government and individuals.

○Political climate being favorable ○Policies

pursued by the government: e.g.

- Changes in monetary and fiscal policy
- Policies concerning price and wage control
- Policies concerning nationalization

- ✓ Economic Factors: Concerned with factors that affect consumers purchasing power and spending patterns:

- Inflation: increase in prices of goods and services without a corresponding increase in output.

- Money supply: Quantity of money in circulation which is supplied by Central Bank
- Interest Rates: rate charged by commercial banks on the money that it lends
- Exchange rates and controls
- Taxes and subsidies (Incentives given to encourage production of good or service)
- Income levels
- ✓ **Social Cultural Factors**
 - Is made up of institutions and other forces that affect a society's basic values, perceptions, preferences and behaviors. People grow up in a particular society that shapes their basic beliefs and values.
 - Social factors e.g. family, religion, social roles and status, reference groups
 - Cultural factors like values, beliefs, customs and lifestyle.
- ✓ **Technological Factors.** Ways and means of production

THE ENTREPRENEUR

Types of Entrepreneurs

a) Craft entrepreneurs

- ✓ Exploits and utilizes personal skills to start a business without thinking of its growth or the expansion objectives
- ✓ Often times than not in this type of entrepreneurship;
 - i. There is no expanding even after a long time
 - ii. It is not business expansion oriented.
 - iii. The skills can be technical skills, professional skill e.t.c

b) Opportunistic entrepreneurs

- ✓ This is a person who starts a business, acts as a manager and with a view to expand the business to maximum.
- ✓ He might not have the skill or profession but he has the opportunity to start and direct others.
- ✓ He sees beyond and has abilities to initiate and venture into business that will expand and grow.
- ✓ He is innovative i.e. somebody able to delegate activities to others, ready and able to see, scan the environment.

c) Social entrepreneur

- ✓ Recognizes a social problem and uses entrepreneurial principles to organize, create and manage a venture to achieve social change.

d) Political entrepreneur

- ✓ Is a business person who utilizes political systems or seeks support from political bodies in order to promote, expand and profit from their own commercial ventures.
- ✓ A political player who seeks to gain certain political and social benefits in return for providing the common goods that can be shared by an organized general public.

e) High Tech:

- ✓ New technological developments have created opportunities for those with the right technical expertise

f) Concept Multipliers

- ✓ Someone who identifies a successful concept that can be duplicated by others eg

g) Acquirer :

- ✓ Those who take over a business started by others and use their own ideas to make it successful
- h) Buy/Sell artists:** those who buy a company for the purpose of improving it before selling it for a profit.
- i) Economy of Scale exploiters:** Those who benefit from large volume of sales by offering discount prices and operating with low overheads.
- j) Inventors:** Those with particular inventive abilities who design a better product and then create companies to develop, produce and sell the item.
- k) Self-employed:** individuals who perform all the work and keep all the profit.
- l) Speculator/Value:** Those individuals who buy property at a low price with the anticipation that prices will go up and sell at a higher price.
- m) Conglomerate:** an entrepreneur who builds up a portfolio of ownership in small businesses, sometimes using shares or assets of one company to provide the financial base to acquire another.
- n) Matriarch or patriarch:** The head of family owned business who often employs several members of the family.

Characteristic/Traits of a Potential Entrepreneur

a) Initiative and risks taken by;

- ✓ Doing things before being asked or forced by events
- ✓ Acts to extend business in to new areas products etc
- ✓ Sees and acts on opportunities
- ✓ Looks for and takes action on opportunities.
- ✓ Sees and acts on new business opportunities

b) Persistence and patience through

- ✓ Taking repeated action to overcome obstacles
- ✓ Taking action to overcome obstacles
- ✓ Taking action in the face of significant obstacles.

c) Information and property seeking

- ✓ Takes action on his own to get information to help reach business objectives
- ✓ Does personal research on how to provide a product or service
- ✓ Consultation of experts on business and technical advice
- ✓ Asks questions to clarify information
- ✓ Undertakes market research analysis and investigation.

d) Concern for high quality work by

- ✓ Acting to do things that meet or beat existing standards
 - ✓ A desire to produce and sell top and better quality products or services ✓Compares own work favorable to other.
 - e) **Commitment to work contract by**
 - ✓ Placing the highest priority on getting the job completed.
 - ✓ Accepts full responsibility for problems that may arise in getting the job done ✓Expresses concern on customers satisfaction.
 - f) **Efficiency orientation by;**
 - ✓ Finding ways of doing things faster and cost effectively ✓Uses information to improve efficiently.
 - ✓ Express concern on costs improvements change etc.
 - g) **Systematic planning;**
 - ✓ by developing and using logical plans to meet goals
 - ✓ breaking tasks down to sub-tasks
 - ✓ developing plans which anticipate obstacles
 - ✓ evaluates alternatives
 - ✓ takes logical and systematic approach to activities
 - ✓ identifies new and potential unique ideas to reach goals ✓Switches to alternative strategies to reach goals.
 - h) **Self –confidence;**
 - ✓ has a strong belief in self and own abilities
 - ✓ expresses confidence in own ability to complete task or meet challenges
 - ✓ Sticks with own judgment in the face of opposition or early lack of success ✓confronts problems and issues directly ✓Tells others what they have to do.
 - i) **Persuasion;**
 - ✓ convinces people to buy the products or service
 - ✓ convinces people on providing funds
 - ✓ Asserts own competence reliability and the company product.
 - j) **Uses strategic influence and networking;**
 - ✓ To develop business contact
 - ✓ Uses influential people as agent to accomplish objectives
- Role of an entrepreneur in an enterprise;**
- ✓ Risk taker, Mobilizer, Marketer, Financier, Shareholder, Director, Initiator

Factors to consider in starting a business

a)Personal Factors

i.Personal abilities

One must have personality traits that will enable him/her to start, continue and succeed in business. One must have entrepreneurial traits and be motivated and determined to succeed in business. E.g. one must be willing to work hard and pursue his/her goals persistently he/she must be innovative, creative and optimistic. ii.Skills: One needs to have the training and experience necessary in the proposed line of

business. He/she must have adequate knowledge about product or service and the necessary managerial skills for the business to succeed.

- iii. Interests / hobbies: As an entrepreneur, how much interests does one have in line of his/her business? An interest or hobby can be a basis for a business.
- iv. Family: Small businesses and family are inseparable, one affects the other. You need to consider possible effects of the business on the family and how the family could affect the business.
- v. Health: Running a business successfully calls for a lot of hard work. It involves a lot of physical and mental energies. If an entrepreneur has failing health, it is advisable to engage in less strenuous activities.

b) Resource Factors

- i.) Financial Resources: These include money saved by the entrepreneur and money that may be borrowed from individuals and institutions like banks, building societies, cooperatives, etc to start and run a business.
- ii.) Labor Resources: The availability and suitability of labour should be assessed.
- iii.) Equipment/Machinery: Tools of the trade that are essential in any business. They may include furniture, office equipment, machine for a specific job, etc.
- iv.) Raw Materials: These are items that are to be converted to states that can be readily used by consumers. These include timber if one is furniture business, cloth materials if in dress making business.

c) Environmental factors

- i.) Location: Factors such as community profile, communication, road, water, safety, source of raw materials and competition should be considered when locating a business. This enables easy accessibility of the business by customers.
- ii.) Government Policies / regulations: Policies such as taxation, pricing, licensing, loans and policy documents affect small enterprises. Information on the above is available from district Information Offices, Trade Organizations, Kenya Chamber of Commerce and Government Printers.
- iii.) Infrastructure: Availability of roads, power, water and telephone services are very important in some types of business.
- iv.) The economy of the society: The average income and employment trends determine the demand for goods and services within the community to sell products or services at reduced profits, a strong economy creates ample demand and good profits.
- v.) Competition: An entrepreneur should try to assess the number of competitors in his or her environment in order to compete with them successfully.
- vi.) Market: A market for the product or services is very important to the entrepreneur. One has to assess whether there's a steady market.
- vii.) Community and Culture: The entrepreneur has to consider:
 - a) General Customs of the region eg customs about mode of dressing
 - b) The mix of politics
 - c) Taboos / beliefs eg Muslims cannot operate any business dealing with pork products
 - d) Traditions peculiar to his / her community

CREATIVITY AND INNOVATION

Definition

- ✓ Creativity refers to the process of devising a new idea, or thing that result in the improved efficiency or effectiveness of a system.
- ✓ Innovation means improving an existing idea or thing. Commercializing of an idea or turning idea into an opportunity.
- ✓ Innovation builds on creativity when something new, tangible and value-creating is developed from the ideas.
- ✓ Innovation turns new concepts into realities, creating wealth and power.
- ✓ Creative destruction occurs when innovations make long-standing arrangement obsolete and frees resources to be employed else where leading to greater economic efficiency. E.g. computerization.

Reasons for Opposing Innovation

- i) The entrepreneurs tend to have a practical concern that unforeseen innovation may cause a disaster e.g. side effects e.g. of a drug.
- ii) Fear of losing profits in the event innovation does not translate to the expectations.
- iii) Where the entrepreneur held a monopoly position in the market, there is fear of losing authority and control.
- iv) Fear of upsetting the moral and social value of demand for the product. v) Desire to preserve the existing market confidence vi) Fear of upsetting tradition in production management and market scope.
- vii) Fear of opening a loophole to competition hence loss of business grip.

Reasons for Innovation

- ✓ Innovation is essential for the entrepreneur in solving the inefficiency problems.
- ✓ As a means of cost reduction and imposing significance social and market grip.
- ✓ Profit improvements are looked at from the innovation point of view though newer technology in management and production.
- ✓ To encounter competition by already established businesses.
- ✓ To facilitate opening up of new markets both locally and internationally.
- ✓ To facilitate diversification of products risks and losses. ✓ To protect current position of monopoly or success.

1.2.4 Requirements of Innovation

- i.) Economic demand
 - ✓ People engage in innovation out of belief that the economic returns will be greater than its costs.
- ii.) Surplus capital
 - ✓ provides the necessary time and startup costs for implementing a new idea.
- iii.) Ability to assemble and invest capital.
- iv.) Mobile capital which is stable.

- ✓Capital cannot serve unless it can move to potential innovator unless it can move to allow the various types of wealth to be created e.g. title deeds – stability is provided by a rule of law.

- v.) Availability of growth- fostering social institutions which facilitate the speed of technological advancement.
- vi.) Ability and willingness to think and act creatively (Entrepreneurs) I.e. the philosophical and psychological requirements.
- vii.) Geographical and other circumstantial causes such as ethical issues.
 - ✓ Societies in which innovation is seen as a sinful or people are punished or are shunned to think differently than others are unlikely to experience innovation.
- viii.) The size of the firm.
 - ✓ Large firms have the advantage of introducing innovation since they can afford it. ✓ They tend to attract more talents employees to advice on new ideas.

THE ENTREPRENEURSHIP CULTURE

Culture Definition

- ✓ Culture is defined as a set of values, perceptions wants and behavior learned by a member of a society from family and other institutions
- ✓ **Weber** argues that “Protestantism encourages a culture which emphasizes individualism, achievement motivation, legislation of entrepreneurial vocations, rationality and self – reliance.
- ✓ **Hosted** – defines culture as a collective programming of the mind which distinguishes the member of one group or category of people from another.

Entrepreneurial Culture

Refers to the way of embracing the concept of finding new opportunities in business and gathering the necessary resources to fill the opportunity.

- ✓ Many governments around the world want to promote entrepreneurship because they have recognized the importance of entrepreneurship.
- ✓ In other words entrepreneurial culture is a way of people embarrassing life by participating in activities that enable them create new business enterprises.
- ✓ A country can develop the entrepreneurial culture by forming policies that constitute the following ;
 - Integration of entrepreneurship training in the overall education system to tap on youths
 - Exposure of entrepreneurship to those who look potential to actual business practices and activities through the networks and business contacts of role models.
 - Creation of a conducive and enabling environment that permits new business to immerge and flourish.
- ✓ The creation of entrepreneurial culture has to come from deep social convictions based on strong values and systems of the locals
- ✓ It should be created in a way that it welcomes entrepreneurship and respects the investor and also reflecting the core values

Importance of Entrepreneurship Culture

i.Enhances economic growth and building of social capital. ii.Enhances job creation iii.Acts as a primary source of innovation iv.Helps in the devolution of government power for policy implementation. v.Direct influence development in tech. H/R capital formation e.t.c.

The cultural habits that promote entrepreneurial development

a)Money orientation

- ✓ Money oriented people know the value of money and has the intention of making it.
- ✓ The money oriented people use the need of money as a motivating factor pushing them to being entrepreneurs.

b) Future orientation

- ✓ A society that has foresight to know about the future business environment is likely to have more entrepreneurs.
- ✓ This is because they are likely to visualize key changes that are likely to create opportunity.

c) Time consciousness

- ✓ Knowledge that time exists and its importance
- ✓ Knowing the right time to start an entrepreneurial activity.
- ✓ Utilization of time
- ✓ The correct timing of the market conditions

d) Trust and honesty

- ✓ Through trust consumer demand is gained on the products and services available.
- ✓ Entrepreneurs should reciprocate this by ensuring honesty by providing the expected standards.

e) Hard work i.e

- ✓ Willingness to work hard distinguishes between successful and unsuccessful persons.

The cultural factors inhibiting entrepreneurial development.

- a) Religion – religious believes may deter entrepreneurial investments in items such as night clubs and pubs.
- b) Language – establishing businesses in areas where language barrier may allow poor communication or fear of invasion.
- c) Personal relationship – Married people may avoid getting involved in business activities since no time is spared for the family.
- d) Attitude towards innovation
 - ✓ Especially in cultures which oppose innovation due to fear of change
- e) Networks – poor networking and ability to meet people limit new
 - ✓ Opportunities
 - ✓ New knowledge
 - ✓ New information.
- f) Technology – lack of technical skills and knowledge may slow growth and dev. Of entrepreneurial
 - Lock one out of being competitive.